

Foreign Exchange (Regulation) Act, 1962

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Foreign Exchange (Regulation) Act, 2019

Royal Seal and Publication Date

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Amending Acts

1. Nepal Acts Amendment, Repeal and Re-enactment Act, 2019 2019.12.30
2. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.07.24
3. Foreign Exchange (Regulation) (First Amendment) Act, 2044 2044.07.01
4. Some Nepal Acts Relating to Finance Amendment Act, 2047 2047.08.27
5. Some Nepal Acts Amendment Act, 2048 2049.01.08
6. Foreign Exchange (Regulation) (Second Amendment) Act, 2058 2059.04.22

Ratification and Publication Date

7. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.07
8. Some Nepal Acts Amendment Act, 2072 2072.11.13
9. Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074 2074.06.30
10. Some Nepal Acts Amendment Act, 2075 2075.11.19
11. Some Nepal Acts Relating to Economic and Business Environment Improvement and Investment Enhancement Amendment Act, 2081 2081.12.18

Act No. 5 of the year 2019

An Act Made to Regulate Transactions Relating to Foreign Exchange

Preamble: Amended by the Nepal Acts Amendment, Repeal and Re-enactment Act, 2019. Whereas, it is desirable to regulate transactions relating to foreign exchange to a greater extent in order to safeguard the economic interests of the general public;

Now, therefore, His Majesty King Mahendra Bir Bikram Shah Deva has, in accordance with Article 93 of the Constitution of Nepal Amended by the Nepal Acts Amendment, Repeal and Re-enactment Act, 2019., enacted this Act. 1. Short Title, Extent and Commencement: (1) This Act may be called the "Foreign Exchange (Regulation) Act, 2019".

(2) This Act shall extend to the whole of Nepal Amended by the First Amendment and amended by the Second Amendment. and shall also apply to all Nepalese citizens residing outside Nepal Amended by the First Amendment and amended by the Second Amendment. and to firms, companies, institutions registered in Nepal Amended by the First Amendment and amended by the Second Amendment. and having their place of business outside Nepal Amended by the First Amendment and amended by the Second Amendment., including their branch offices and agencies.

(3) This section shall come into force immediately, and the other sections shall come into force in such areas on such dates as the Government of Nepal may, by notification in the Nepal Gazette, specify from time to time; The places and dates of commencement of the sections of this Act are mentioned at the end of the Act.

2.

Definitions: In this Act, unless the subject or context otherwise requires,- (a) Amended by the Second Amendment. "Currency" means all kinds of currency notes, postal orders, postal notes, money orders, cheques, drafts, travelers cheques, letters of credit, bills of exchange, promissory notes, credit cards and also includes such other monetary instruments of similar nature as the Bank may specify by publishing and circulating a public notice. (a1) Added by the Second Amendment. "Currency Note" means a bank note which is in circulation as cash, and also includes coins. (b) Amended by the Second Amendment. "Foreign Currency" means any currency other than Nepali currency, and also includes Special Drawing Rights from the International Monetary Fund, Asian Currency Unit, European Currency Unit, and such other instruments as the Bank may specify by publishing and circulating a public notice. (c) Amended by the Second Amendment. "Nepali Currency" means currency denominated in Nepalese Rupees. (c1) Added by the Second Amendment. "Convertible Foreign Currency" means such foreign currency as the Bank may specify as convertible foreign currency by publishing and circulating a public notice. (d) Amended by the Second Amendment. "Foreign Exchange" means foreign currency, all kinds of deposits, loans, balances, foreign securities and cheques, drafts, travelers cheques, electronic fund transfers, credit cards, letters of credit, bills of exchange, promissory notes in international use which are payable or receivable in foreign currency, and also includes any other monetary instruments as the Bank may specify by publishing and circulating a public notice. (d1) Added by the Second Amendment. "Foreign Exchange Transaction" means the act of purchasing or selling foreign exchange, taking or giving loans, or receiving or giving foreign exchange in any other manner, and also includes the act of the Bank granting approval for foreign exchange conversion. (d2) Added by the Second Amendment. "License" means a license obtained from the Bank pursuant to Section 3 by any person, firm, company or institution for carrying out foreign exchange transactions. (e) Added by the Second Amendment. "Licensee" means a person, firm, company or institution that has obtained a license from the Bank pursuant to Section 3 to carry out foreign exchange transactions. (f) Added by the Second Amendment. "Securities" means shares, stocks, bonds, debentures, debenture stocks issued by any organized institution, or certificates relating to unit savings programs or group savings programs issued by an organized institution pursuant to prevailing law, or transferable deposit certificates, and also includes such securities or securities deposit receipts, rights and interests relating to securities as the Government of Nepal may specify by publishing a notice in the Nepal Gazette. (g) Amended by the Second Amendment. "Foreign Securities" means securities issued or floated from any country other than Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.. (g1) Added by the Second Amendment. "Foreign Investment" means the following types of investment made by a foreign investor in any firm, company or institution:- (1) Investment in shares, (2) Investment in deposits, (3) Reinvestment of income derived from investment pursuant to sub-clauses (1) and (2), (4) Investment in the form of loans or loan facilities. (g2) Added by the Second Amendment. "Technology Transfer" means the transfer of technology made by entering into an agreement between any firm, company or institution and a foreign investor regarding the following matters:- (1) To utilize any rights, specialties, formulas, processes, patents or technical knowledge relating to any technology of foreign origin, (2) To utilize a trademark of foreign ownership, (3) To provide foreign technical consultant, management and marketing services. (g3) Added by the Second Amendment. "Foreign Investor" means any foreign person, firm, company or institution making a foreign investment or technology transfer, and also includes a foreign government or international institution. (g4) Added by the Some Nepal Acts

Relating to Economic and Business Environment Improvement and Investment Enhancement Amendment Act, 2081. "Investment Abroad" means the following investment made by a company or enterprise established in Nepal in a foreign country:- (1) Investment in shares or purchase of shares of a limited liability partnership, firm, investment fund, company or an entity of similar nature established or registered abroad, which is not listed on the securities market of that foreign country, (2) Investment in shares or purchase of shares of up to twenty percent of the paid-up capital of a limited liability partnership, firm, investment fund, company or an entity of similar nature established or registered abroad, which is listed on the securities market of that foreign country; Provided that such limit shall not apply when a Nepali citizen invests funds earned during the period of stay abroad. (3) Investment made by a company or enterprise established in Nepal to open or register its branch or liaison office abroad, (4) Amount deposited in a bank account abroad by a company or enterprise established in Nepal, or (5) Reinvestment of income derived from investment pursuant to sub-clauses (1) and (2).

Amended by the First Amendment. (h) "Gold" includes gold in the form of coins, whether or not legal tender, gold bullion and sheets, whether refined or not, and ornaments and articles wholly or mainly made of gold. Amended by the First Amendment. (i) "Silver" includes silver in the form of coins, whether or not legal tender, silver bullion and sheets, whether refined or not, and ornaments and articles wholly or mainly made of silver.

(j) "Bank" means Nepal Rastra Bank.

(k) "Prescribed" or "as prescribed" means prescribed or as prescribed by rules made under this Act.

(l) "Owner in relation to any security" means the person entitled to sell, transfer or assign the security, or the person in whose name the security stands, or the person receiving dividends or interest on the security on his own behalf or on behalf of another person, or a person having any interest in the security, and where the security is held in trust or its dividends or interest are credited to a trust fund, it means the person entitled to manage, terminate or vary the trust or any of its terms with or without the consent of any other person, or the person entitled to control the investment of the trust money. Added by the First Amendment. (m) "Investigation Officer" means an investigation officer appointed pursuant to Section 11A. Added by the First Amendment. (n) "Person Resident in Nepal" means any of the following persons:-

1. Nepali citizens, except those Nepali citizens residing outside Nepal for a period longer than that Amended by the Second Amendment. specified by the Bank by publishing and circulating a public notice for employment, trade or any other business or any other work,

2. Non-Nepali citizens residing in Nepal for a period longer than that Amended by the Second Amendment. specified by the Bank by publishing and circulating a public notice for employment, trade or any other business. Added by the First Amendment. (o) "Person Resident Outside Nepal" means any person other than a person resident in Nepal. Amended by the Second Amendment. 3. License Required to Conduct Foreign Exchange Transactions: (1) A person, firm, company or institution desiring to conduct foreign exchange transactions must obtain a license from the Bank.

(2) A person, firm, company or institution desiring to conduct foreign exchange transactions must submit an application to the Bank with the details prescribed by the Bank for obtaining a license.

(3) Upon receipt of an application pursuant to sub-section (2), the Bank may, based on prescribed criteria, make necessary inquiries and, if deemed appropriate, grant a license to the concerned person, firm, company or institution to conduct foreign exchange transactions.

While granting a license, the Bank may also specify the type of foreign exchange for transaction, limit, duration for which transactions may be conducted, and other necessary conditions.

(4) The Bank may, from time to time, issue necessary orders or directives to a licensee regarding the regulation and management of foreign exchange transactions. It shall be the duty of the licensee to comply with such orders or directives.

(5) A licensee must pay annual fees and a deposit to the Bank as prescribed. The Bank may cancel or suspend the license of a licensee who fails to pay the prescribed annual fee or deposit.

(6) If a person, firm, company or institution requests a one-time license for conducting foreign exchange transactions, the Bank may, subject to this section, grant such a one-time license to that person. Added by the Second Amendment. 3A. Bank May Take Action: (1) If a licensee fails to comply with an order or directive given by the Bank under this Act, the Bank may take any or all of the following actions against such licensee:-

(a) Issue a warning,

(b) Prohibit any or all foreign exchange transactions,

(c) Forfeit the cash deposit held with the Bank or recover from the guarantee,

(d) Suspend or cancel the license.

(2) While taking action against a licensee pursuant to sub-section (1), the Bank shall provide the licensee a reasonable opportunity to present a defense in his favor. Added by the Second Amendment. 3B. Other Provisions Relating to Foreign Exchange Transactions: Provisions relating to foreign exchange transactions other than those provided in this Act shall be as prescribed by the Bank by publishing and circulating a public notice. Amended by the First Amendment. 4. Amended by the Second Amendment. Procedure for Conducting Foreign Exchange Transactions: (1) No one shall conduct a foreign exchange transaction with any person other than a licensee, without the approval of the Bank.

(2) A licensee or any other person shall not conduct a foreign exchange transaction involving the exchange of Nepali currency for foreign currency or foreign currency for Nepali currency at a rate different from the conversion rate prescribed by the Bank.

(3) If a person has obtained foreign exchange for a specific purpose or subject to a condition, such person shall not utilize such foreign exchange for other purposes or violate the said condition.

If it becomes impossible to utilize the foreign exchange so obtained for the relevant purpose or to fulfill the said condition, such person shall, within thirty days from the date of knowledge of such fact, sell such foreign exchange to a licensee or the Bank at the rate determined by the Bank.

(4) If any person has obtained foreign exchange for the import of any goods into Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., and such person fails to import such goods within a reasonable period or fails to import goods of a value equivalent to the foreign exchange so obtained, such person shall be deemed to have been unable to utilize the foreign exchange so obtained for that purpose or to have failed to fulfill the condition. Added by the First Amendment and amended by the Second Amendment. 4A. Provision Relating to Foreign Exchange Received by Nepali Citizens: (1) Matters relating to foreign exchange received by a Nepali citizen shall be as prescribed by the Bank by publishing and circulating a public notice.

(2) If a Nepali citizen, after returning to Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., wishes to keep abroad the foreign exchange earned during the period of stay abroad or the investment made from such foreign exchange, or to invest it abroad, he may do so by informing the Bank of such fact, except in the circumstances mentioned in Section 6. Added by the Second Amendment.

4B. Payment for Sale of Goods or Provision of Services to Foreigners: A person, firm, company or institution located in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. shall, when receiving payment for the sale of any goods or provision of services to any foreign person, firm, company or institution, receive such payment in convertible foreign currency, unless otherwise provided by the Bank by publishing and circulating a public notice. Amended by the Second Amendment.

5. Restriction on Export or Import of Certain Currency and Bullion: (1) The Government of Nepal may, by notification in the Nepal Gazette, issue an order prohibiting any person, firm, company or institution from bringing or sending into the whole or any specified area of Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. any specified type of Nepali currency or foreign currency without a license from the Bank.

While issuing such an order, the Government of Nepal may specify in such order that such prohibition shall not apply to any person, firm, company or institution or in relation to any specified type of Nepali currency or foreign currency.

(2) No person, firm, company or institution shall take or send out of any area of Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. Nepal any Nepali currency or any foreign exchange other than that obtained from a licensee, without a license from the Bank. Provided that the Government of Nepal may, by notification in the Nepal Gazette, issue an order that such prohibition shall not apply in relation to any foreign exchange.

6. Government of Nepal's Power to Acquire Foreign Exchange: (1) Amended by the First Amendment. In a situation where the country faces an economic and monetary crisis leading to a foreign exchange crisis, the Government of Nepal may, by notification in the Nepal Gazette, order a Nepali citizen who is the owner of foreign exchange to do the following with respect to the foreign exchange owned by him:-

(a) To deposit or cause to be deposited with the Bank or with a person authorized by the Bank for that purpose, for sale at the rate determined by the Bank, in the name of the Government of Nepal, the foreign exchange specified in such notification,

(b) A person entitled to confer on others the right to receive the foreign exchange specified in such notification shall transfer such right upon receiving the value determined at the rate determined by the Bank, in the name of the Government of Nepal. Provided that the Government of Nepal may, by the same notification or by issuing another order, make the said order inapplicable in relation to any specific person or class of persons.

(2) This section shall not apply to foreign exchange obtained by a person from a licensee and kept, with the permission of the Bank, for a specific purpose. 7.

Duty of Persons Capable of Receiving Foreign Exchange: (1) No person entitled to receive foreign exchange from outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. or to receive payment in Nepali currency Amended by the First Amendment. shall do any act which may result in delay in or non-receipt of such foreign exchange or Amended by the First Amendment. payment in Nepali currency, in whole or in part, without the permission of the Bank Amended by the Second Amendment.. (2) If any person contravenes sub-section (1), the Bank may issue such directions to that person as it deems

necessary for receiving the foreign exchange or effecting Amended by the First Amendment. payment in Nepali currency. 8. Obligation of Importer: (1) Any person, firm, company or institution importing any goods into Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. by opening a letter of credit or in any other manner, with payment to be made in foreign exchange, shall import such goods within the time prescribed by the Bank and submit to the Bank documents as prescribed by the Bank. (2) Provisions relating to the type and procedure of foreign exchange for payment for import shall be as prescribed by the Bank by publishing and circulating a public notice. (3) The importer shall import the goods declared in the letter of credit strictly according to the price and quantity mentioned in that letter of credit, unless the prior approval of the Bank has been obtained. Provided that there shall be no bar to importing goods according to the revised price and quantity if the letter of credit has been amended. (4) If, when an importer opens a letter of credit for import with a commercial bank, another person, firm, company or institution has stood as guarantor or is directly or indirectly involved in the related transaction, and if any misappropriation or misuse of foreign currency occurs in that transaction in any manner, then, notwithstanding anything contained in the prevailing law, the person, firm, company or institution standing as guarantor or directly or indirectly involved in such transaction shall also be liable to punishment under this Act for the misappropriation or misuse of foreign currency. (5) Notwithstanding anything elsewhere contained in this section, the procedure for the import of knowledge and information technology and payment therefor shall be as prescribed by the Bank by publishing and circulating a public notice. (6) An importer must make correct invoicing. Doing or not doing acts such as the same, and any act related thereto, is prohibited. 9.

Payment of Value of Exported Goods: (1) The Government of Nepal may, by notification in the Nepal Gazette, prohibit the export of such goods as may be specified in such notification to any place outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. except as provided under sub-section (2). Deleted by the First Amendment. (2) For the purposes of this section, the Government of Nepal may, in consultation with the Bank, make necessary rules or issue directives or orders. 9A. Regarding Receiving Payment for Exported Goods: (1) The exporter shall fill in the details stated in the export declaration form prescribed by the Bank and declare to the customs officer that he will bring payment for the declared value in the declaration form in foreign exchange approved by the Bank within the prescribed period. (2) If, before receiving payment for the exported goods, the payment is to be made at a value lower or higher than the value declared in the declaration form, the exporter shall apply to the Bank with evidence thereof; and if the matter is confirmed, the Bank may grant approval to receive such lower or higher payment. (3) If the exporter does not receive payment for the value of the exported goods within the period prescribed under sub-section (1), he shall be deemed to have contravened this Act. (4) Notwithstanding anything contained in sub-section (3), if the exporter submits an application to the Bank stating reasonable grounds and evidence for being unable to receive payment for the value of the exported goods within the period prescribed under sub-section (1), and if the Bank is satisfied therewith, the Bank may fix a further period and issue an order as follows to the concerned exporter:- (a) If the goods have been sold, to bring the payment therefor, (b) If the goods have not been sold, to sell them and bring the payment or to bring back such goods to Nepal. Proviso added by the Second Amendment.

Provided that if the exporter submits an application to the Bank stating reasonable grounds and evidence for being unable to bring payment for the exported goods due to circumstances beyond his control, the Bank may, after making necessary inquiry, allow the return of such goods or grant exemption from bringing partial or full payment. (5) If the Bank wishes to certify that the value declared in the declaration form is payable within the prescribed period in the prescribed manner, it may require the exporter to submit the agreement made with the foreign buyer in this regard and other evidence. (6) To ensure that full payment for the value of

exported goods is received, the Bank may issue an order requiring the following to be done in respect of all or any specific type of goods to be exported or all or any specific exporter:- (a) Except where otherwise prescribed by the Government of Nepal, payment for exported goods must be received only through letters of credit or through other means prescribed by the Bank, (b) To certify that the value declared in the declaration form pursuant to sub-section (1) is the actual value of the export, the declaration form must be submitted to the officer or institution prescribed by the Bank. Added by the Second Amendment. (7) Notwithstanding anything elsewhere contained in this section, the procedure for the export of knowledge and information technology and receiving payment therefor shall be as prescribed by the Bank by publishing and circulating a public notice. 9B. Acts Prohibited for Exporter: An exporter shall not do any of the following acts:- (a) Receive payment for exported goods by any means other than the prescribed means, (b) Make arrangements to receive payment for exported goods with a delay exceeding the prescribed period, (c) Do any act which results in not receiving full payment for the value of the exported goods, Added by the Second Amendment. (d) Do any act which results in incorrect invoicing or any other act related to such act. 9C. Restriction on Making or Receiving Payment: Amended by the Second Amendment.

Except as prescribed by the Bank, no person resident in Nepal shall, directly or indirectly, do or cause to be done any of the following acts:- (a) Make any kind of payment in any manner to any person resident outside Nepal, (b) Draw, accept or negotiate any bill of exchange or promissory note, or incur any debt, so as to create or transfer a right to receive payment in favor of any person resident outside Nepal, (c) Make any kind of payment to any person by order of or on behalf of any person resident outside Nepal. 10. Control of Export and Transfer of Securities: Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. Except as prescribed by the Bank, no person shall do any of the following acts:- (a) Export any security to any place outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., (b) Transfer any security to the name of any person resident outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., (c) Give any security to any person for the purpose of acquisition, holding or control in any manner Amended by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. resident outside Nepal. Explanation: For the purposes of this section, "Transfer" in relation to any security includes transfer as a loan or security. 10A.

Regulation of Investment Abroad: Amended by the Some Nepal Acts Relating to Economic and Business Environment Improvement and Investment Enhancement Amendment Act, 2081. (1) Notwithstanding anything contained in the prevailing law, the following companies or enterprises established in Nepal may invest abroad:- (a) Industries exempted by the notice under sub-section (2) of Section 3 of the Investment Prohibition Act, 2021, to the extent of being allowed to invest abroad, (b) Industries falling under the classification of information technology industry according to the prevailing law relating to industrial enterprises, (c) The amount of foreign currency received by a foreign investor pursuant to sub-section (2) of Section 7A of the Foreign Investment and Technology Transfer Act, 2075. (2) An employee of a company established in Nepal, who is a Nepali citizen resident in Nepal, may receive shares and generate income from such shares under an employee share sale plan operated or implemented by the parent company of the company established in Nepal located abroad or by another subsidiary company of such parent company located abroad, provided that such plan applies to such employee as well, and provided that there is no remittance of convertible currency from Nepal abroad for such shares. (3) The conditions to be complied with by a company or enterprise investing abroad, the sectoral maximum limit of such investment, and other related provisions shall be as determined by Nepal Rastra Bank by publishing a public notice. 10B. Provision for Taking/Giving Loans in Foreign Exchange: Added by the Second Amendment. No one shall take or give a loan in foreign exchange except as provided by the prevailing law and as prescribed by the Bank by

publishing and circulating a public notice. 10C.

Provision for Repatriation, Investment and Transfer of Rights of Foreign Exchange: Added by the Second Amendment. (1) A foreign investor who has been approved to invest in securities according to the prevailing law may, in accordance with the procedure prescribed by the Bank by publishing and circulating a public notice, take or send abroad in foreign currency the following amounts:- (a) The investment made in securities and the profit or dividend received therefor, (b) The investment made in the form of loans or loan facilities and the interest thereon. (2) If a Nepali citizen residing outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. is approved to invest in foreign exchange within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., the facility under sub-section (1) shall be provided. (3) In the case of listed securities among the securities mentioned in clause (a) of sub-section (1), the amount shall be the value at the rate of transaction in the securities exchange market; and in the case of unlisted securities, foreign exchange may be taken or sent based on the assets of the concerned institution determined according to the procedure prescribed by the Bank by publishing and circulating a public notice. (4) If tax or fee payable according to the prevailing law is paid in foreign currency, any foreign person, firm, company or institution may transfer the rights of securities obtained thereby to another foreign person, firm, company or institution after fulfilling the formalities of the prevailing law. (5) A foreign investor may take or send abroad the amount for technical fees, royalties, etc., as mentioned in the technology transfer agreement made according to the prevailing law. (6) The procedure for the repatriation of the amount for air tickets and cargo sold in Nepal by a licensed foreign airline service operating in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., its agents, or Nepali persons, firms, companies or institutions authorized to do such work, shall be as prescribed by the Bank by publishing and circulating a public notice. (7) Notwithstanding anything elsewhere contained in this section, a person, firm, company or institution that has invested in Nepali currency and does not earn foreign currency may give or receive payment in foreign currency under this section. 11.

Power to Require Information: (1) Deleted by the Second Amendment. (2) For the purpose of achieving the objectives of this Act, if the Government of Nepal or the Bank considers it necessary or desirable to obtain or examine any information, account or document, and if such information, account or document is with a person or can be obtained and submitted by such person, the Government of Nepal or the Bank may order such person to submit or obtain and submit such information, account or document to the Government of Nepal or the Bank. (3) Deleted by the First Amendment. 11A. Appointment of Investigation Officer: Added by the First Amendment. The Government of Nepal may appoint an investigation officer to conduct inquiry and investigation regarding offences under this Act. 11B. Search of Suspected Person: Added by the First Amendment. (1) If there is sufficient reason and basis to suspect that any person has any foreign exchange in contravention of this Act, an order of the Investigation Officer may authorize an employee of at least the second class gazetted rank to conduct a personal search of such person. Provided that, when searching a female, the search shall be conducted only by a female. (2) If, during a search of a suspected person, any foreign exchange or any document related thereto in contravention of this Act is found, such foreign exchange or document may be seized. (3) When conducting a search under this section, at least two local persons shall be kept as witnesses and the search shall be conducted in their presence. A record of the foreign exchange or related documents found during the search shall be prepared and signed by the witnesses present. 11C. Stopping and Searching Vehicle: Added by the First Amendment. (1) If there is sufficient reason and basis to suspect that a vehicle has been or is about to be used for an act in contravention of this Act, or that foreign exchange in contravention of this Act is concealed therein, such vehicle may be stopped at any time or place by order of the Investigation Officer. (2) Any part of the vehicle

stopped under sub-section (1) and goods contained therein may be searched or inspected, and if any foreign exchange in contravention of this Act or any document related thereto is found during such search, it may be seized. 11D.

Search of House or Place of Business: Added by the First Amendment. (1) If there is sufficient reason and basis to believe that any foreign exchange in contravention of this Act is concealed or kept in any house or place of business, the Investigation Officer may prepare a memo of such fact and order a search of such house or place of business. (2) A search pursuant to an order under sub-section (1) shall be conducted by an employee of at least the second class gazetted rank. (3) The employee assigned to conduct a search under the order of the Investigation Officer shall inform the person currently residing in the house or place of business to be searched of the reason for the search. If the concerned person does not understand such notice, a copy of the notice shall be affixed at a conspicuous place in the house or place of business to be searched. After the notice is affixed, the concerned person shall be deemed to have received notice of the search. (4) After giving notice to the concerned person pursuant to sub-section (3), the employee assigned to conduct the search must be allowed to search the house or place of business. (5) If the concerned person objects or obstructs when going to conduct the search, the employee assigned to conduct the search shall give notice and opportunity to the persons residing in the house or place of business to leave. If they do not leave despite being given the opportunity to leave, the outer or inner doors, windows or locks of the house or place of business to be searched may be opened or broken using necessary force and a search may be conducted at any time. (6) If, during a search, any foreign exchange in contravention of this Act or any document related thereto is found, such foreign exchange or document may be seized. (7) When conducting a search under this section, Amended by the Some Nepal Acts Amendment Act, 2072. a member of the Rural Municipality or Municipality or at least two local respectable persons shall be kept as witnesses and the search shall be conducted in their presence. A record of any foreign exchange in contravention of this Act or documents related thereto found during the search shall be prepared and signed by the witnesses present. Added by the First Amendment. 11E.

Arrest: (1) If there is sufficient reason and basis to suspect that a person has committed or is about to commit an act in contravention of this Act, Amended by the Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074. the Investigation Officer may file an application with the concerned court for issuance of an arrest warrant, and after the arrest warrant is issued, such person may be arrested at any place. Added by the Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074. Provided that, if such person is not arrested immediately, or if there is reasonable cause to believe that such person may abscond or destroy evidence, proof or clues, or if a person absconding in connection with an offence is found, or if a person is caught in the act of committing an offence or is present before the Investigation Officer, such person may be arrested immediately by issuing an urgent arrest warrant. (2) A person arrested under sub-section (1) shall be produced before the adjudicating officer within twenty-four hours, excluding the travel time. Added by the First Amendment. 11F. Detention: A person arrested under this Act may, in the course of inquiry and investigation, with the approval of the adjudicating officer, be detained in custody for a maximum of thirty days, not exceeding seven days at a time. Added by the First Amendment. 11G. Breach of Confidentiality Prohibited: An investigation officer or an employee under him shall not, when performing duties under this Act, breach the confidentiality of any matter or document submitted that has come to his knowledge by virtue of his office, except in circumstances compelled by the prevailing law. Provided that, if the adjudicating officer is of the opinion that such matter or document is necessary or likely to be evidence for other cases, and if the confidentiality of such matter or document is disclosed before a person authorized by law by order of such officer, it shall not be deemed a breach of

confidentiality. Added by the First Amendment. 11H. Seized Foreign Exchange and Documents to be Kept Safe: The Investigation Officer shall keep safe the foreign exchange and related documents seized under this Act. Added by the First Amendment. 11I. Receipt for Seizure to be Given: When any foreign exchange or related document is seized under this Act, a receipt containing details of the foreign exchange and related documents so seized shall be given immediately to the concerned person. Added by the First Amendment. 11J.

Submission of Report: The Investigation Officer shall submit a report of his actions every month to the Government of Nepal. 12. Bank's Power to Give Directions, Make Regulations or Issue Orders or Notices: The Bank may, from time to time, give directions, make regulations or issue orders or notices as necessary for the implementation of the matters written in this Act, subject to any directions given (12) Amended by Some Nepal Acts Amendment Act, 2075. A person who does not deposit the bail as per (10) shall be kept in custody and proceeded against. Amended by Some Nepal Acts Amendment Act, 2048. 18. Investigation and Prosecution: If an oral or written information is received from the Government of Nepal or from a person authorized by the Bank that any person has violated this Act or done any act contrary to the rules, regulations, orders, notices or directives under this Act, the Government Attorney or the officer authorized by the Government of Nepal in this regard shall investigate the matter and if, upon investigation, it is determined that such person has committed such violation or contrary act, he shall prosecute such person. Added by the first amendment. 18A. Filing of case: (1) A case relating to an offense under this Act shall be filed by the investigation officer in the name of the Government of Nepal. (2) While filing a case under sub-section (1), the investigation officer shall obtain the opinion of the Government Attorney. Added by the first amendment and amended by the second amendment. 18B. Certification of copies of documents relating to foreign exchange: (1) The investigation officer shall make copies or photocopies of the foreign exchange or details relating thereto taken into possession in connection with an offense under this Act and get them certified and kept. (2) Notwithstanding anything written in the prevailing law, copies or photocopies of the foreign exchange or details relating thereto certified and kept pursuant to sub-section (1) may be submitted as evidence in a case relating to an offense under this Act. 19. Cancellation of documents: If any kind of contract or document is made in violation of Section 13, such contract or document may be voided and rendered invalid by the order of the court hearing the case under this Act. Amended by the first amendment. 20.

Reward for giving information: (1) If any person gives information to the Government of Nepal or an officer authorized by the Government of Nepal regarding the commission of an offense relating to foreign exchange contrary to this Act or the rules, regulations, orders, notices, directives, licenses or permits made under this Act, and upon the basis of such information, foreign exchange is seized and the offense is proven, twenty percent of the principal amount determined upon converting the seized foreign currency into Nepali currency shall be given as a reward to the person providing such information. (2) The amount of reward given under sub-section (1) shall be paid from the amount obtained after converting the seized foreign currency into Nepali currency after the final disposal of the case. 21. No claim or complaint to lie: (1) No suit, complaint or legal proceeding of any kind shall be instituted in any court against any person for anything done or intended to be done in good faith in pursuance of this Act or any rule, regulation, order, notice or directive under this Act. (2) If any person suffers loss or damage due to failure by the Government of Nepal, the Bank, or a licensed person to provide foreign exchange (except in case of willful act or negligence), no claim of any kind shall lie. 22. Power to make rules: The Government of Nepal may, in consultation with the Bank, make rules to carry out the objectives of this Act. 23. Repeal: The Foreign Exchange (Regulation) Act, 2017 is hereby repealed. 24. Existing licenses: Unless the Bank otherwise orders, licenses granted under the Foreign Exchange (Regulation) Act, 2017, except those already revoked, shall be deemed to have been granted

under Section 3 of this Act for the same period and on the same conditions as specified in such licenses. 25.

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